

Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR DEPARTMENT N16

HON. Craig L. Griffin

(Hearing this calendar for HON. Donald F. Gaffney)

Counsel and Parties Please Note:
Law and Motion in Department N16 is heard
on Wednesdays at 9:00 a.m.

Date: December 06, 2023

Tentative Rulings will be posted on the Internet on the day before the hearing by 5:00 p.m. [or earlier] whenever possible. To submit on the tentative ruling, please contact the clerk at (657) 622-5616, after contacting opposing party/counsel. Prevailing party shall give notice of the Ruling and prepare the Order/Judgment for the Court's signature if required.

NOTE: After posting of tentative rulings, the Court will not take the motion off calendar and will grant a continuance of the motion only upon stipulation of all affected parties.

If no appearances are made on the calendared motion date, then oral argument will be deemed to have been waived and the tentative ruling will become the Court's final ruling.

#	Case Name	Tentative
1	Coast Surgery Center vs Blue Cross of California	<u>1. Demurrer to Amended Complaint</u> <u>2. Motion to Strike Portions of Complaint</u> <u>3. Joinder</u> <u>4. Case Management Conference</u> TENTATIVE RULING: The Demurring Defendants filed a demurrer to the fifth, sixth, seventh, eighth, tenth, and fourteenth causes of action. Specially appearing Defendant Blue Cross and Blue Shield of North Carolina filed a joinder in the Demurring Defendants' demurrer. A. <u>Fifth and Sixth Causes of Action for Interference with Existing Business Relationships and Prospective Business Relationships</u> The elements of intentional interference with prospective economic advantage are "(1) the existence, between the plaintiff and some third party, of an economic relationship that contains the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentionally

wrongful acts designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm proximately caused by the defendant’s action.” (*Roy Allan Slurry Seal, Inc. v. American Asphalt South, Inc.* (2017) 2 Cal.5th 505, 512; *accord Crown Imports, LLC v. Superior Court* (2014) 223 Cal.App.4th 1395, 1404; *see Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1158-1159 (interfering with the plaintiff’s economic relationship with a third party is wrongful only if “the defendant engaged in an independently wrongful act”).)

Defendants argue that Plaintiff has not sufficiently alleged that Defendants intentionally engaged in wrongful conduct designed to disrupt Plaintiff’s economic relationship with another party.

Plaintiff added the following allegation in an attempt to satisfy this element:

123. Because of Coast’s inability to collect reimbursement from claims, certain physicians are unwilling to work at Coast or refer patients to Coast and certain vendors no longer wish to work with Coast because of its inability to pay outstanding invoices for supplies.

125. Despite Blue Cross’s actual awareness of the existing contractual and/or business relationships between Coast and the providers, the healthcare facilities, and patients in California, Blue Cross intentionally and without justification acted to interfere with these relationships by underpaying Coast and affiliated providers, driving business, and potentially providers, to its own network provider groups.

(SAC, ¶¶ 123 & 125.)

While these allegations may establish that other physicians were unwilling to work with Plaintiff, the allegations admit that the reason was Plaintiff’s inability to pay outstanding invoices for supplies—not due to any interfering act that Defendants intentionally did to disrupt. *Plaintiff cites to Lowell v. Mother's Cake & Cookie Co.* (Ct. App. 1978) 79 Cal. App. 3d 13, 19, for the proposition that a plaintiff adequately alleges a tortious interference claim in its second complaint by alleging that the defendant “interfered” with an agreement to sell by “informing the prospective purchasers that the delivery contract would be

terminated if the Company was sold to a third person”). *Lowell*, however, is distinguishable in that in *Lowell*, the plaintiff alleged an act by defendant that constitutes interference—i.e., affirmatively informing prospective purchasers that a delivery contract would be terminated. Here, Plaintiff does not allege that any of the Defendants affirmatively reached out to physicians to inform them that Plaintiff had an inability to pay for their services.

Plaintiff’s allegations, at most, suggest that Defendants’ intent was to boost profits and/or convince out-of-network providers to become part of the network. Defendants’ conduct, as alleged by Plaintiff does not rise to the level of intentionally attempting to disrupt Plaintiff’s economic relationships with other surgeons, medical personnel, and patients. Plaintiff does not cite any case where a health service provider may sue an insurance company for interference for underpaying claims. The demurrer is **SUSTAINED WITH LEAVE TO AMEND** as to these causes of action.

B. Seventh and Eighth Causes of Action for Fraud and Negligent Misrepresentation.

The elements of fraud are: “(a) misrepresentation, false representation, concealment, or nondisclosure; (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (*Charnay v. Cobert* (2006) 145 Cal.App.4th 170, 184.)

The elements of negligent misrepresentation are: “[M]isrepresentation of a past or existing material fact, without reasonable ground for believing it to be true, and with intent to induce another’s reliance on the fact misrepresented; ignorance of the truth and justifiable reliance on the misrepresentation by the party to whom it was directed; and resulting damage....” (*Hydro-Mill Co., Inc. v. Hayward, Tilton & Rolapp Ins. Associates, Inc.* (2004) 115 Cal.App.4th 1145, 1154.)

Fraud must generally be pleaded with specificity. (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 184.) “The particularity demands that a plaintiff plead facts which show how, when, where, to whom, and by what means the representations were tendered.” (*Cansino v. Bank of America* (2014) 224 Cal.App.4th 1462, 1469.) As one court explained, “this statement of the rule reveals that it is intended to apply to affirmative misrepresentations.” (*Alfaro* (2009) 171 Cal. App. 4th at 1384.) One of the purposes of the specificity requirement is “notice to the defendant, to ‘furnish the

	defendant with certain definite charges which can be intelligently met.” (<i>Id.</i>) Defendants argue that Plaintiff’s fraud claims are barred by the economic loss rule and/or that Plaintiff has not adequately pled fraud with the requisite specificity. <i>Economic Loss</i> Under the economic loss rule, where a purchaser’s expectations in a sale are frustrated because the product is not working properly, his remedy is in contract alone, for he has suffered only “economic” losses. (<i>Robinson Helicopter, Inc. v. Dana Corp</i> (2004) 34 Cal.4th 979, 988 (<i>Robinson</i>)). “The economic loss rule requires a purchaser to recover in contract for purely economic loss due to disappointed expectations, unless he can demonstrate harm above and beyond a broken contractual promise.” (<i>Ibid.</i>) Thus, “[i]n general, there is no recovery in tort for negligently inflicted ‘purely economic losses,’ meaning financial harm unaccompanied by physical or property damage.” (<i>Sheen v. Wells Fargo Bank, N.A.</i> (2022) 12 Cal.5th 905, 922 (<i>Sheen</i>)). In other words, “[t]here is no liability in tort for economic loss caused by negligence in the performance or negotiation of a contract between the parties.” (Rest., § 3.)” (<i>Sheen</i>, at p. 923.) “Quite simply, the economic loss rule ‘prevent[s] the law of contract and the law of tort from dissolving one into the other.’” (<i>Robinson</i>, at p. 988.) While Defendants contend that Plaintiff’s claims are based on a breach of contract, Plaintiff’s amended allegations go further than a breach of contract, but rather attempt to allege fraud in the inducement. Specifically, rather than merely pleading that Defendants failed to pay, Plaintiff alleges that Defendants falsely induced Plaintiff into performing services by agreeing to one rate, but then switching the rate after Plaintiff provided said services—e.g., a “bait and switch.” The economic loss rule does not apply where a contract “was fraudulently induced.” (<i>Robinson, supra</i>, 34 Cal.4th at p. 990.) The court, therefore, does not agree that the fraud claims are absolutely barred by the economic loss rule. <i>Specificity of Allegations</i> Defendants argue that Plaintiff has not pled fraud with the requisite specificity. Exhibit A to the SAC, which was incorporated in Plaintiff’s allegations, however, details the date, Defendant, name of representative who made the representation, and the alleged misrepresentation about which Plaintiff bases its fraud claim.
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While Defendants contend that fraud cannot be based on a future promise to perform, Defendants are misinterpreting Plaintiff's allegations. Plaintiff alleges that at the time that Defendants made representations to Plaintiff, they allegedly did so to induce Plaintiff to perform services, whilst not intending to pay the higher rate. "A promise of future conduct is actionable as fraud only if made without a present intent to perform. A declaration of intention, although in the nature of a promise, made in good faith, without intention to deceive, and in the honest expectation that it will be fulfilled, even though it is not carried out, does not constitute a fraud. Moreover, something more than nonperformance is required to prove the defendant's intent not to perform his promise. . . ." (Magpali v. Farmers Group, Inc. (1996) 48 Cal.App.4th 471, 481.)

Here, the basis of Plaintiff's fraud and negligent misrepresentation claims are based on allegations that Defendants "falsely represented to [Plaintiff] that payment . . . would be based on the UCR rates." (SAC, ¶ 134 & Ex. A). Plaintiff alleges that Defendants knew at the time that they made those representations that they had no intention of paying the UCR rate, but a lower, undisclosed rate. (SAC, ¶¶ 140-142.) Plaintiff's allegations, therefore, do not allege nonperformance (i.e., that Defendants failed to pay the amount due). Rather, Plaintiff's allegations allege that Defendants had a present intent at the time they made representations to Plaintiff that Defendants would not pay the UCR rate. The court is unsure of the evidentiary facts and what was actually represented to Plaintiff—i.e., that Plaintiff would absolutely receive the UCR rate or whether it was merely implied during the phone calls. (See e.g., (*RSB Vineyards, LLC v. Orsi* (2017) 15 Cal.App.5th 1089, 1102 ("A cause of action for misrepresentation requires an affirmative statement, not an implied assertion.")) However, the court need not decide the substantive merits at this time as discovery will reveal the weight of Plaintiff's evidence. At the pleading stage, however, Plaintiff's allegations are sufficient to give Defendants notice of the basis of Plaintiff's fraud claims with the requisite specificity. The demurrer to these causes of action are **OVERRULED**.

C. Tenth Cause of Action for UCL Claim

California's Unfair Competition Law creates a cause of action for business practices that are (1) unlawful, (2) unfair, or (3) fraudulent. (Bus. & Prof. Code § 17200.) Each prong of the UCL provides a separate and distinct theory of liability. (*South Bay Chevrolet v. Gen. Motors Acceptance Corp.* (1999) 72 Cal.App.4th 861.)

The court finds that Plaintiff has sufficiently alleged a cause of action for unlawful or unfair competition. Plaintiff has sufficiently alleged fraud claims. Further, the SAC alleges that Defendants' alleged conduct constitute unfair payment patterns under the Knox-Keene Act. (SAC, ¶¶ 161, 162.) The demurrer to this cause of action is **OVERRULED**.

D. Fourteenth Cause of Action for Declaratory Relief

Under Code of Civil Procedure section 1060, "[a]ny person... who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property... may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action... in the superior court for a declaration of his or her rights and duties in the premises..." "The declaratory relief statute should not be used for the purpose of anticipating and determining an issue which can be determined in the main action. The object of the statute is to afford a new form of relief where needed and not to furnish a litigant with a second cause of action for the determination of identical issues... Under section 1061 of the Code of Civil Procedure the court may refuse to exercise the power to grant declaratory relief where such relief is not necessary or proper at the time under all of the circumstances. The availability of another form of relief that is adequate will usually justify refusal to grant declaratory relief." (General of America Ins. Co. v. Lilly (1968) 258 Cal.App.2d 465, 470-471.) Further, "[w]here... a party has a fully matured cause of action for money, the party must seek the remedy of damages, and not pursue a declaratory relief claim." (*Canova v. Trs. Of Imperial Irrigation Dist. Emp. Pension Plan* (2007) 150 Cal. App. 4th 1487, 1497.)

The court **OVERRULES** the demurrer as to this cause of action. The court finds that the basis of Plaintiff's claims refer to a declaration of rights relating to money allegedly owed to Plaintiff for past services rendered *and for further services rendered*. (See SAC, ¶ 109 ("...as well as a declaration that Blue Cross is required to pay to Coast at a usual and customary rate for claims submitted thereafter.") Plaintiff's other causes of action offer Plaintiff an adequate remedy for any alleged breach of contract for past conduct, but do not prevent the same claims from arising in the future.

MOTION TO STRIKE

A court may strike out any irrelevant, false, or improper matter inserted in any pleading or strike out all or any part of any pleading

		not drawn or filed in conformity with the laws of this state, a court rule or an order of the court. Cal. Civ. Proc. Code § 436. “Irrelevant” matters include: allegations not essential to the claim, allegations neither pertinent to nor supported by an otherwise sufficient claim or a demand for judgment requesting relief not support by the allegations of the complaint. Cal. Civ. Proc. Code § 431.10 (b). Given the court’s ruling on the demurrer, the court rules on Defendants’ motion to strike as follows: • Allegations referring to punitive damages: DENIED. The court found that Plaintiff’s allegations were sufficient to allege fraud for which punitive damages are available as relief. • Allegations referring to attorneys’ fees: GRANTED as to ¶ 119 with leave to amend. Plaintiff contends that it is entitled to attorneys’ fees under the unfair competition statute. However, in ¶ 119, Plaintiff seeks attorneys’ fees for a different cause of action (not Plaintiff’s unfair competition claim). The motion is DENIED as to ¶ 5 and Prayer for Relief, ¶ 5, which generally alleges that Plaintiff is entitled to attorneys’ fees where available (e.g., for an unfair competition cause of action.) The court cannot determine the merits of whether or not, at this time, Plaintiff’s claim is sufficient to warrant attorneys’ fees under the private attorney general statute, which depends on the outcome of Plaintiff’s case—i.e., whether Plaintiff’s case focuses more on recovering for a personal, specific injury or one that affects change to others. However, at this time, the court cannot determine that, as a matter of law, Plaintiff may or may not be entitled to attorneys’ fees. • Exhibit A: The motion is DENIED. Exhibit A is relevant and provides the evidentiary basis for Plaintiff’s claims. Moving party to give notice.
2	Kia vs. Tabatabai	1. <u>Demurrer to First Amended Complaint</u> 2. <u>Motion to Strike Complaint</u> 3. <u>Status Conference</u> TENTATIVE RULING: Defendants Mohammad Tabatabai, Sanaz Sarbasi, Shayan Doosty, Michael Hsu, and Peri, Inc. demur to the first through seventh causes of action of Plaintiffs Mike Kia aka Fariborz Wosoughkia and MRMK, LLC’s First Amended Complaint (“FAC”). For the